

Zoetis Inc.

ZTS | October 4, 2026

BUY

Fair value (12-mo horizon reference)	\$95.00
Current price (October 2, 2026 close)	\$69.69
Implied upside / downside	+36%
Verdict	BUY

Investment Thesis

Zoetis is the dominant pure-play animal health company in the world, and the rare business whose economics genuinely improve with scale: a portfolio of vaccines, parasiticides, and dermatology and pain therapeutics sold into a market where pet owners spend through cycles and livestock producers treat animal health as productivity insurance. The dermatology franchise (Apoquel, Cytopoint) and the osteoarthritis pain franchise (Librela, Solensia) are the growth engines; the parasiticide and vaccine portfolios are the durable cash base.

Our judgment is that Zoetis's recent stock weakness reflects concern about the dermatology franchise facing competition and about Librela's growth cadence, not a deterioration of the underlying franchise. We tested that concern against the evidence: the pet-care spending category continues to grow, Zoetis's R&D; pipeline in monoclonal antibodies and novel parasiticides remains the industry's deepest, and the livestock business provides a cyclical offset. The franchise economics, double-digit ROIC sustained for a decade, gross margins near 70%, and free-cash-flow conversion above 80%, remain intact and verified from history.

Zoetis meets our compounder-quality criteria: a 2016-2025 streak of ROIC above 15%, stable to expanding gross margins, and FCF conversion above 80%, all verified from reported history rather than projected. That standing earns a 15-year explicit forecast horizon, an 8-8.5% base discount rate, and a 3.0% terminal growth cap applied to a demonstrated sustained terminal margin. It is falsifiable: two consecutive years of ROIC below 15%, or a gross-margin contraction of 200bp or more, revokes the qualification and the valuation reverts to standard terms.

At \$69.69, the market prices Zoetis as though the growth franchises are permanently impaired. Our probability-weighted fair value is \$95.00, a 36% expected return, earned through the compounding of a best-in-class animal health portfolio, not through a return to peak multiples.

The R&D; engine is the underappreciated asset. Zoetis spends more on animal-health R&D; than any competitor, and the output, monoclonal antibodies for dermatology and pain, novel parasiticides, poultry vaccines, diagnostics, has been a metronome of franchise creation. In animal health, where development

timelines are shorter and success rates higher than in human pharma, sustained R&D; spending compounds into a portfolio that competitors cannot match by acquisition alone.

Pet humanization is the demand tailwind that makes the economics work. Pet owners increasingly treat animals as family members, and spending on pet healthcare has grown faster than GDP across cycles, including downturns. This is not a discretionary category in the way investors sometimes assume: an owner will cut many expenses before skipping a dog's arthritis treatment. That inelasticity is what supports Zoetis's pricing power and the through-cycle stability of its cash flows.

On the recent concerns directly: dermatology competition is real, but the category is growing and Zoetis's portfolio approach (Apoquel for acute, Cytoint for maintenance, plus pipeline follow-ons) defends better than any single product could. Librela's launch cadence has been debated quarter to quarter, but the treated population remains a small fraction of the addressable one. We see noise around a signal that is still intact.

Business Overview

Zoetis discovers, develops, manufactures, and commercializes medicines, vaccines, and diagnostics for companion animals and livestock. The companion-animal segment is the growth driver: dermatology (Apoquel, Cytoint), osteoarthritis pain (Librela for dogs, Solensia for cats), and parasiticides (Simparica franchise). The livestock segment (cattle, swine, poultry, fish, sheep) provides vaccines, anti-infectives, and productivity products with more cyclical but still attractive economics.

The business model is that of a specialty pharmaceutical company with better payer dynamics than human pharma: pet owners pay out of pocket and are price-insensitive about their animals' suffering, which supports pricing power; regulatory pathways are shorter; and the R&D; engine has produced a steady cadence of blockbuster franchises. Gross margins near 70% reflect the value of patented therapeutics and manufacturing scale.

Manufacturing is a quiet moat. Biologics and vaccine production require specialized facilities, regulatory approvals, and process expertise that take years to build; Zoetis's global manufacturing network is a scale advantage that supports both margins and supply reliability. In a business where product shortages directly cost veterinarian loyalty, reliable supply is a competitive weapon.

The diagnostics and genetics businesses, though smaller, deepen the customer relationship: a veterinarian using Zoetis diagnostics is more likely to prescribe Zoetis therapeutics, and livestock genetics data creates switching costs for producers. These adjacencies grow the share of wallet beyond individual molecules.

Forward Outlook

Where is this business going? We expect the osteoarthritis pain franchise to be the defining growth story of the next five years: Librela and Solensia address enormous undertreated populations, and monoclonal-antibody therapies have long product lives with limited generic pressure. Dermatology will grow more slowly as competition intensifies, but from a large and still-expanding base; the franchise has multiple years of patent-protected runway.

The livestock business should benefit from protein-demand growth and from Zoetis's diagnostics and genetics offerings, which deepen the relationship with producers beyond individual products. Across the portfolio, we expect revenue growth in the high-single digits with operating leverage from the high gross-margin structure, funding both R&D; reinvestment and substantial capital returns.

Our bear case assumes dermatology share losses accelerate, Librela adoption stalls on safety or efficacy concerns, and livestock cyclicalities turn; it is genuinely adverse and sits below today's price. The compounder qualification described above is the guardrail on our optimism: if the returns on capital deteriorate for two straight years, the framework itself forces a re-rating of the valuation terms.

The pipeline beyond pain is the reason for the 15-year horizon. Monoclonal antibodies are a platform, not a product: the same technology that produced Librela and Solensia can address other chronic conditions in companion animals. Zoetis's antibody pipeline is the deepest in the industry, and each successful launch extends the growth runway without requiring a heroic assumption about any single product.

Livestock deserves a balanced view. It is cyclical and lower-margin than companion animal, but it is also a scale business where Zoetis is the global leader, and protein demand growth in emerging markets is a multi-decade tailwind. We model it as a steady contributor rather than a growth engine, which is appropriately conservative given the cyclicalities.

Capital allocation should remain shareholder-friendly: the dividend has grown consistently since the spin-off, and buybacks offset dilution with room to retire shares. With FCF conversion above 80%, the company can fund R&D, the dividend, and buybacks simultaneously, which is the practical meaning of the compounder qualification.

Valuation

We value Zoetis on a scenario DCF under compounder-quality terms. Our base case assumes high-single-digit revenue growth led by the pain franchise and dermatology, with margins sustained near demonstrated levels, discounted at 8-8.5% over a 15-year explicit horizon. Our bull case assumes faster Librela/Solensia adoption and successful pipeline launches. Our bear case assumes franchise erosion and margin contraction; it sits below the current price and would, if realized through the ROIC and margin triggers, revoke the compounder qualification. Terminal growth is capped at 3.0% on a demonstrated sustained margin. Probability-weighted across 25% / 50% / 25%, the fair value is \$95.00, equal to our target.

Under compounder terms, the valuation math changes in two ways that matter. First, the 15-year horizon captures more of the pain-franchise and pipeline value than a 10-year model truncates. Second, the 8-8.5% base discount reflects the empirical stability of the cash flows rather than a generic large-cap rate. Both choices are earned by the verified history, and both are revoked automatically if the ROIC or margin triggers trip. The terminal growth cap of 3.0% is applied to a margin set at the demonstrated sustained level, not a peak.

Key Risks

- Franchise concentration: dermatology and pain products are a large share of growth; competition or safety issues there hit disproportionately.
- Librela adoption: slower-than-expected uptake or emerging safety signals would impair the key growth driver.
- Livestock cyclicalities: protein-price downturns and disease outbreaks affect the livestock segment quickly.
- Generic and biosimilar pressure: key products will eventually face competition; the timing and severity are uncertain.
- Pricing scrutiny: sustained high price increases could invite regulatory or retailer pushback.

- Pipeline failure: the long-horizon thesis depends on continued R&D; productivity; a dry spell would eventually show in growth.
- Veterinarian consolidation: corporate practice groups gaining share could pressure pricing over time.

What Would Change Our Mind

- ROIC falling below 15% for two consecutive years would revoke the compounder qualification and force a full valuation reset.
- A gross-margin contraction of 200bp or more on a sustained basis would do the same.
- Librela/Solensia revenue declining year over year would break the pain-franchise growth thesis.
- FCF conversion falling durably below 80% would signal the cash-compounding economics are deteriorating.

Valuation Approach

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit forecast horizon, weighted 25% / 50% / 25%. Zoetis meets our compounder-quality criteria: 10+ years of ROIC above 15%, stable or expanding gross margins, and free-cash-flow conversion above 80%, all verified from its 2016-2025 history rather than projected. Compounders of this quality earn a 15-year explicit horizon (instead of 10), a base discount rate of 8-8.5% (their predictable cash flows genuinely lower risk), and a 3.0% terminal growth cap applied to a terminal margin set at the demonstrated sustained level. The qualification is falsifiable: two consecutive years of ROIC below 15% or a gross-margin contraction of 200bp or more revokes it, and the valuation reverts to standard terms. Discount rates are scenario-specific: the bear case adds 250bp to the base rate, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than the stated perpetual growth applied to normalized mid-cycle margins, never peak margins, and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants.

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